ANNUAL OPERATING BUDGET

Hollis Keystone Crossing | Chicago, IL

Property	Hollis Keystone Crossing
Fiscal Year	2025
Submitted By	Elmstead Asset Services
Submitted	November 20, 2020

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$258,803	$248,722	$257,544	-$1,259	-0.5%	$7,804.36
5010 Loss to Lease	$56,361	$53,458	$53,939	-$2,423	-4.3%	$1,634.50
5020 Vacancy Loss	$52,832	$53,482	$54,277	$1,444	2.7%	$1,644.74
5030 Concessions	$184,383	$197,104	$198,519	$14,135	7.7%	$6,015.72
5040 Bad Debt	$249,228	$234,202	$240,339	-$8,889	-3.6%	$7,283.00
5050 Late Fees	$308,994	$290,255	$309,990	$996	0.3%	$9,393.63
5060 Utility Reimbursements	$27,898	$27,859	$28,037	$139	0.5%	$849.60
5070 Parking Income	$98,717	$93,094	$97,059	-$1,658	-1.7%	$2,941.18
5080 Application Fees	$186,230	$179,996	$181,453	-$4,776	-2.6%	$5,498.59
5090 Pet Rent	$294,141	$311,193	$320,437	$26,296	8.9%	$9,710.21
5100 Laundry Income	$173,237	$184,217	$187,804	$14,568	8.4%	$5,691.04
5110 Cable/Internet Revenue	$83,406	$88,906	$93,155	$9,749	11.7%	$2,822.87
5120 CAM Reimbursements	$236,781	$222,392	$234,506	-$2,275	-1.0%	$7,106.24
5130 Tax Reimbursements	$103,430	$98,106	$99,094	-$4,336	-4.2%	$3,002.85
5140 Insurance Reimbursements	$61,198	$62,316	$66,250	$5,052	8.3%	$2,007.57
5150 Percentage Rent	$261,512	$277,744	$285,499	$23,987	9.2%	$8,651.49
5160 Misc. Income	$71,458	$74,177	$75,871	$4,413	6.2%	$2,299.12
5170 Payroll - Management	$88,142	$89,489	$92,487	$4,344	4.9%	$2,802.63
5180 Payroll - Leasing	$304,849	$292,273	$309,346	$4,498	1.5%	$9,374.14
5190 Payroll - Maintenance	$223,827	$227,596	$230,097	$6,270	2.8%	$6,972.62
5200 Payroll Taxes & Benefits	$235,328	$232,609	$244,942	$9,615	4.1%	$7,422.49
5210 Repairs - Plumbing	$147,174	$158,800	$168,338	$21,163	14.4%	$5,101.14
5220 Repairs - HVAC	$200,926	$193,167	$204,286	$3,360	1.7%	$6,190.48
5230 Repairs - Electrical	$119,558	$128,924	$137,265	$17,707	14.8%	$4,159.55

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$224,233	$234,074	$246,276	$22,043	9.8%	$7,462.92
5430 Legal & Professional	$242,163	$232,083	$233,792	-$8,370	-3.5%	$7,084.62
5440 Accounting & Audit	$133,603	$131,696	$135,918	$2,316	1.7%	$4,118.74
5450 Licenses & Permits	$136,599	$136,253	$140,250	$3,651	2.7%	$4,250.01
5460 Management Fee	$258,046	$262,043	$279,313	$21,267	8.2%	$8,464.02
5470 Property Insurance	$161,416	$171,950	$175,638	$14,222	8.8%	$5,322.36
5480 Real Estate Taxes	$176,446	$170,072	$172,675	-$3,771	-2.1%	$5,232.57
5490 Asset Management Fee	$316,521	$337,525	$355,580	$39,059	12.3%	$10,775.16
5500 Replacement Reserves	$280,412	$294,059	$309,930	$29,518	10.5%	$9,391.82
5510 Roof Repairs	$190,067	$202,835	$207,939	$17,872	9.4%	$6,301.17
5520 Parking Lot Repairs	$255,691	$272,057	$284,009	$28,318	11.1%	$8,606.34
5530 Signage	$87,226	$90,053	$94,534	$7,308	8.4%	$2,864.68
5540 Tenant Improvements	$245,491	$232,028	$245,029	-$462	-0.2%	$7,425.13
5550 Leasing Commissions	$75,047	$80,960	$81,241	$6,194	8.3%	$2,461.85
5000 Gross Potential Rent	$28,631	$30,884	$31,601	$2,970	10.4%	$957.61
5010 Loss to Lease	$171,911	$158,978	$166,086	-$5,825	-3.4%	$5,032.90
5020 Vacancy Loss	$296,556	$283,678	$303,460	$6,904	2.3%	$9,195.77
5030 Concessions	$109,217	$108,335	$110,699	$1,482	1.4%	$3,354.51
5040 Bad Debt	$269,557	$249,299	$262,736	-$6,822	-2.5%	$7,961.68
5050 Late Fees	$92,556	$97,566	$103,423	$10,867	11.7%	$3,134.04
5060 Utility Reimbursements	$219,658	$223,350	$230,867	$11,209	5.1%	$6,995.97
5070 Parking Income	$80,752	$86,189	$88,500	$7,748	9.6%	$2,681.81
5080 Application Fees	$275,980	$288,096	$289,966	$13,985	5.1%	$8,786.83
5090 Pet Rent	$251,667	$256,996	$274,959	$23,292	9.3%	$8,332.09
5100 Laundry Income	$288,511	$276,926	$283,802	-$4,709	-1.6%	$8,600.07
5110 Cable/Internet Revenue	$84,841	$90,042	$90,845	$6,004	7.1%	$2,752.89
5120 CAM Reimbursements	$203,761	$203,275	$214,049	$10,288	5.0%	$6,486.32
5130 Tax Reimbursements	$311,966	$314,068	$317,027	$5,062	1.6%	$9,606.89
5140 Insurance Reimbursements	$209,392	$204,773	$208,623	-$769	-0.4%	$6,321.91
5150 Percentage Rent	$255,688	$276,118	$279,426	$23,738	9.3%	$8,467.45
5160 Misc. Income	$232,500	$243,902	$255,566	$23,065	9.9%	$7,744.41
5170 Payroll - Management	$160,976	$158,131	$168,709	$7,733	4.8%	$5,112.40
5180 Payroll - Leasing	$212,798	$198,442	$208,417	-$4,381	-2.1%	$6,315.67
5190 Payroll - Maintenance	$183,202	$175,747	$177,296	-$5,906	-3.2%	$5,372.62
5200 Payroll Taxes & Benefits	$255,575	$274,690	$281,831	$26,256	10.3%	$8,540.32
5210 Repairs - Plumbing	$114,516	$122,522	$127,997	$13,481	11.8%	$3,878.69
5220 Repairs - HVAC	$277,738	$283,373	$287,143	$9,405	3.4%	$8,701.32
5230 Repairs - Electrical	$288,885	$299,908	$316,002	$27,117	9.4%	$9,575.83
5240 Repairs - Appliances	$241,984	$235,645	$242,372	$388	0.2%	$7,344.62
5250 Painting & Decorating	$268,759	$277,381	$294,017	$25,259	9.4%	$8,909.62
5260 Flooring	$35,514	$32,688	$33,887	-$1,627	-4.6%	$1,026.87
5270 Make-Ready / Turnover	$264,356	$260,260	$264,166	-$191	-0.1%	$8,005.03

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Financial Analysis

Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The going-in capitalization rate of 7.66% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The going-in capitalization rate of 7.03% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. Operating expenses totaled $79,000 or approximately 39.56 per square foot, with real estate taxes representing the largest line item. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Debt service coverage ratio was 5.61x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 32 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 29th business day.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 42 additional team members. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Collections for the period were 92.3% of billed charges, with bad debt of 4.1% of gross potential income.

Income and Expense Review

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $36 per square foot with parking at a ratio of 36 spaces per 1,000 square feet. The going-in capitalization rate of 7.04% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.40x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $243,000, representing a 5.2% increase over the prior year.

Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $36 per square foot with parking at a ratio of 10 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Property Operations

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. Average rent is $36 per square foot with parking at a ratio of 10 spaces per 1,000 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 2th business day.

Income and Expense Review

The going-in capitalization rate of 7.93% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5300 Janitorial	$82,296	$88,340	$89,703	$7,407	9.0%	$2,718.26
5310 Pest Control	$33,854	$33,427	$35,361	$1,507	4.5%	$1,071.56
5320 Trash Removal	$235,521	$253,041	$266,142	$30,620	13.0%	$8,064.90
5330 Elevator Contract	$139,943	$149,315	$152,175	$12,232	8.7%	$4,611.36
5340 Fire & Life Safety	$74,785	$73,329	$76,224	$1,439	1.9%	$2,309.83
5350 Security	$79,159	$73,859	$78,806	-$353	-0.4%	$2,388.05
5360 Electricity - Common	$308,693	$315,744	$327,141	$18,447	6.0%	$9,913.36
5370 Gas - Common	$306,728	$292,370	$311,444	$4,716	1.5%	$9,437.70
5380 Water & Sewer	$35,011	$33,328	$35,574	$563	1.6%	$1,077.99
5390 Telephone/Internet	$265,768	$286,734	$290,148	$24,380	9.2%	$8,792.36
5400 Advertising	$24,929	$23,072	$23,322	-$1,607	-6.4%	$706.73
5410 Resident Events	$65,750	$60,693	$63,070	-$2,680	-4.1%	$1,911.22
5420 Office Supplies	$193,176	$193,799	$204,663	$11,487	5.9%	$6,201.91
5430 Legal & Professional	$249,733	$265,931	$279,554	$29,820	11.9%	$8,471.33
5440 Accounting & Audit	$203,827	$209,598	$219,172	$15,345	7.5%	$6,641.57
5450 Licenses & Permits	$181,018	$169,515	$172,235	-$8,783	-4.9%	$5,219.24
5460 Management Fee	$283,338	$279,759	$290,288	$6,951	2.5%	$8,796.62
5470 Property Insurance	$250,740	$248,942	$257,877	$7,137	2.8%	$7,814.45
5480 Real Estate Taxes	$163,534	$169,986	$170,442	$6,908	4.2%	$5,164.90
5490 Asset Management Fee	$252,537	$257,760	$275,507	$22,970	9.1%	$8,348.70
5500 Replacement Reserves	$259,719	$262,970	$281,190	$21,471	8.3%	$8,520.92
5510 Roof Repairs	$219,958	$230,885	$247,015	$27,057	12.3%	$7,485.30
5520 Parking Lot Repairs	$222,609	$235,220	$249,826	$27,216	12.2%	$7,570.47
5530 Signage	$299,093	$301,230	$307,259	$8,166	2.7%	$9,310.89
5540 Tenant Improvements	$223,982	$225,237	$239,082	$15,100	6.7%	$7,244.91
5550 Leasing Commissions	$306,057	$314,850	$316,602	$10,546	3.4%	$9,594.01
5000 Gross Potential Rent	$308,569	$318,462	$322,090	$13,520	4.4%	$9,760.30
5010 Loss to Lease	$46,633	$49,293	$52,317	$5,684	12.2%	$1,585.35
5020 Vacancy Loss	$271,685	$276,803	$289,033	$17,348	6.4%	$8,758.58
5030 Concessions	$276,910	$294,741	$313,328	$36,418	13.2%	$9,494.79
5040 Bad Debt	$281,509	$281,029	$284,918	$3,409	1.2%	$8,633.88
5050 Late Fees	$300,029	$318,787	$340,311	$40,282	13.4%	$10,312.46
5060 Utility Reimbursements	$146,411	$148,825	$158,383	$11,971	8.2%	$4,799.47
5070 Parking Income	$100,935	$106,663	$110,406	$9,471	9.4%	$3,345.65
5080 Application Fees	$202,932	$188,780	$198,149	-$4,783	-2.4%	$6,004.51
5090 Pet Rent	$110,774	$115,410	$116,812	$6,038	5.5%	$3,539.74
5100 Laundry Income	$118,191	$119,172	$123,138	$4,947	4.2%	$3,731.46
5110 Cable/Internet Revenue	$126,919	$133,885	$138,651	$11,731	9.2%	$4,201.53
5120 CAM Reimbursements	$173,651	$168,279	$174,509	$857	0.5%	$5,288.15
5130 Tax Reimbursements	$55,659	$57,472	$60,939	$5,281	9.5%	$1,846.65
5140 Insurance Reimbursements	$147,266	$143,026	$150,505	$3,239	2.2%	$4,560.77
5150 Percentage Rent	$58,277	$62,301	$65,396	$7,119	12.2%	$1,981.71
5160 Misc. Income	$158,323	$152,489	$159,191	$867	0.5%	$4,823.96

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Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $36 per square foot with parking at a ratio of 34 spaces per 1,000 square feet. Operating expenses totaled $241,000 or approximately 17.57 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.70x on a trailing basis against a covenant minimum of 1.20x. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.59% reflects the in-place income and the stabilized occupancy assumption. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $36 per square foot with parking at a ratio of 19 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

Collections for the period were 93.2% of billed charges, with bad debt of 3.8% of gross potential income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 8 hours. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. Average rent is $36 per square foot with parking at a ratio of 10 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 32 hours.

Financial Analysis

Management fees are calculated at 5.1% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.49% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $14,000 or approximately 16.43 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $250,000, representing a 4.9% increase over the prior year.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Debt service coverage ratio was 7.81x on a trailing basis against a covenant minimum of 1.20x. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $36 per square foot with parking at a ratio of 31 spaces per 1,000 square feet.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 42 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 42th business day. Collections for the period were 88.6% of billed charges, with bad debt of 4.8% of gross potential income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. Service requests are tracked through a work-order system with an average completion time of 18 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 23 additional team members.

Valuation Discussion

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Debt service coverage ratio was 6.32x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $36 per square foot with parking at a ratio of 32 spaces per 1,000 square feet.

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5140 Insurance Reimbursements	$282,242	$283,660	$290,512	$8,271	2.9%	$8,803.41
5150 Percentage Rent	$23,875	$23,518	$24,137	$262	1.1%	$731.42
5160 Misc. Income	$211,267	$206,915	$215,888	$4,620	2.2%	$6,542.05
5170 Payroll - Management	$277,751	$294,310	$313,240	$35,489	12.8%	$9,492.13
5180 Payroll - Leasing	$294,404	$299,899	$318,154	$23,750	8.1%	$9,641.04
5190 Payroll - Maintenance	$251,285	$237,587	$245,984	-$5,301	-2.1%	$7,454.06
5200 Payroll Taxes & Benefits	$249,080	$266,466	$277,747	$28,667	11.5%	$8,416.58
5210 Repairs - Plumbing	$148,769	$152,345	$162,558	$13,788	9.3%	$4,925.99
5220 Repairs - HVAC	$240,729	$242,129	$247,571	$6,842	2.8%	$7,502.16
5230 Repairs - Electrical	$97,852	$101,062	$104,236	$6,384	6.5%	$3,158.68
5240 Repairs - Appliances	$115,724	$107,715	$109,177	-$6,547	-5.7%	$3,308.39
5250 Painting & Decorating	$188,639	$187,676	$193,680	$5,041	2.7%	$5,869.10
5260 Flooring	$214,689	$200,744	$202,021	-$12,667	-5.9%	$6,121.86
5270 Make-Ready / Turnover	$234,062	$241,900	$242,777	$8,715	3.7%	$7,356.88
5280 Landscaping Contract	$270,039	$285,821	$299,773	$29,734	11.0%	$9,084.02
5290 Snow Removal	$41,236	$44,437	$44,581	$3,345	8.1%	$1,350.95
5300 Janitorial	$211,437	$211,273	$212,118	$681	0.3%	$6,427.81
5310 Pest Control	$186,927	$193,956	$199,903	$12,976	6.9%	$6,057.66
5320 Trash Removal	$188,111	$199,492	$212,584	$24,473	13.0%	$6,441.93
5330 Elevator Contract	$298,956	$279,719	$292,358	-$6,598	-2.2%	$8,859.33
5340 Fire & Life Safety	$97,615	$95,441	$99,491	$1,876	1.9%	$3,014.88
5350 Security	$161,879	$166,084	$177,377	$15,498	9.6%	$5,375.05
5360 Electricity - Common	$258,125	$243,233	$256,374	-$1,751	-0.7%	$7,768.91
5370 Gas - Common	$211,576	$198,795	$211,958	$382	0.2%	$6,422.97
5380 Water & Sewer	$62,934	$61,627	$63,414	$480	0.8%	$1,921.64
5390 Telephone/Internet	$149,621	$141,036	$141,105	-$8,516	-5.7%	$4,275.91
5400 Advertising	$292,430	$278,929	$286,648	-$5,782	-2.0%	$8,686.30
5410 Resident Events	$156,899	$155,236	$156,465	-$433	-0.3%	$4,741.37
5420 Office Supplies	$315,966	$311,592	$316,067	$101	0.0%	$9,577.78
5430 Legal & Professional	$262,746	$270,349	$285,061	$22,315	8.5%	$8,638.22
5440 Accounting & Audit	$73,534	$75,005	$75,111	$1,577	2.1%	$2,276.09
5450 Licenses & Permits	$98,232	$94,414	$96,933	-$1,299	-1.3%	$2,937.36
5460 Management Fee	$73,554	$68,309	$72,295	-$1,259	-1.7%	$2,190.77
5470 Property Insurance	$238,967	$230,781	$234,290	-$4,677	-2.0%	$7,099.69
5480 Real Estate Taxes	$137,779	$138,114	$140,085	$2,306	1.7%	$4,245.01
5490 Asset Management Fee	$165,887	$162,987	$168,168	$2,281	1.4%	$5,095.99
5500 Replacement Reserves	$138,549	$138,318	$147,702	$9,153	6.6%	$4,475.81
5510 Roof Repairs	$115,193	$123,348	$127,638	$12,445	10.8%	$3,867.81
5520 Parking Lot Repairs	$63,607	$68,614	$70,248	$6,641	10.4%	$2,128.71
5530 Signage	$150,627	$155,822	$156,107	$5,481	3.6%	$4,730.52
5540 Tenant Improvements	$118,940	$111,746	$116,099	-$2,841	-2.4%	$3,518.15
5550 Leasing Commissions	$65,858	$65,214	$66,769	$912	1.4%	$2,023.30

Report generated 11/20/2020. Figures are unaudited and subject to change.

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Summary and Notes

Valuation Discussion

The going-in capitalization rate of 6.35% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.99x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $359,000, representing a 7.1% increase over the prior year.

Operating expenses totaled $135,000 or approximately 34.97 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.20x on a trailing basis against a covenant minimum of 1.20x. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 13th business day. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $36 per square foot with parking at a ratio of 20 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. Service requests are tracked through a work-order system with an average completion time of 13 hours.

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